

Half of E-STATCOM cost sits in supply-constrained inputs — so secure it early, don't tender it late.

Fragmented market, supplier and spend information was rebuilt into one decision-ready view of the category. Decomposing cost and lead time into their real drivers showed why it rewards partnership and early commitment over aggressive competitive tendering.

INDUSTRY	ENGAGEMENT CONTEXT	ROLE	DURATION
Energy & utilities — grid power electronics	Consulting · large US investor-owned utility	Category intelligence & executive briefing	8 weeks

THE SITUATION

- The utility was building a category-intelligence capability; E-STATCOM — grid power electronics with integrated storage — was a priority.
- Supplier data, market intelligence, commodity trends and spend analytics lived separately.
- There was no structured view to support sourcing, capital planning and grid-stability investment.

MY CONTRIBUTION

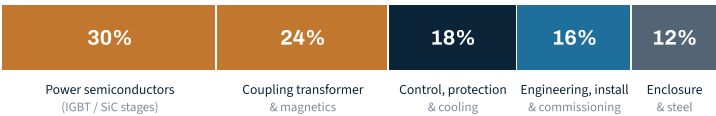
Built the category-intelligence report end to end on one framework — market structure, spend, supplier concentration, cost model, commodity exposure, lead time, contracting approach and KPIs — and iterated the executive summary until every statement was fact-based.

THE JUDGMENT THAT MATTERED

The shift that mattered was from describing a market to saying what procurement should do about it: cost broken into its commodity and manufacturing inputs, and lead time separated into critical-path components rather than quoted as an average.

EXHIBIT 1 Roughly half of installed cost rides on supply-constrained inputs

Share of installed E-STATCOM cost



Supply-constrained: semiconductors allocated into 2027; copper-intensive magnetics with copper above \$14,000/t through 2026.

SO WHAT

Price rides on inputs the supplier cannot fully control — an argument for locking contract length and production slots, not squeezing the quote.

EXHIBIT 2 Tendering late versus committing early

Sourcing posture compared

	Tender late	Commit early
Production slots	Go to whoever committed first	Reserved ahead of need
Price	Spot exposure to semiconductors and copper	Quotes challenged on the inputs that move price
Supplier pool	Few qualified OEMs, stretched thin	A chosen partner with capacity planned
Schedule	Long lead lands on the critical path	Lead time absorbed before the project starts

SO WHAT

In a strategic category — few qualified OEMs, long lead, grid-critical — positioning drives contract length as much as it drives price.

WHAT THE WORK DELIVERED

One intelligence base: market structure, supplier landscape, cost drivers and lead-time exposure in one comparable frame.

A differentiated posture: partner and commit early, with production slots secured ahead of need.

An executive-ready briefing that aligned procurement and engineering ahead of the sourcing decisions.

HEADLINE

~50%

of installed cost in supply-constrained inputs — the case for committing early